

WHAT'S WRONG WITH THIS PICTURE?

Adults who sit around waiting for the next dose of economic outpatient care typically are not very productive. Cash gifts are too often earmarked for consumption and the support of an unrealistically high lifestyle. This is precisely what happened to Mary and Lamar. Their household's annual earned income of \$60,000 is the same amount a blue-collar couple in their county earned with overtime. Both the man and woman drive buses for a living. Yet they have a more realistic view of who they are and what they have achieved. Conversely, Mary and Lamar are living in fantasyland. Displaying upper-middle-class status is their socioeconomic goal in life.

Does this mean that all adult children of affluent parents are destined to become Marys and Lamars? Absolutely not. In fact, stated as a statistical probability, the more wealth parents accumulate, the more economically disciplined their adult children are likely to be. Note that America's millionaires are more than five times more likely than the average household to have a son or a daughter graduate from medical school. They are more than four times more likely to have a child who is a law school graduate.

Paying for an education is the equivalent to teaching your children how to fish. Mary's mother taught her daughter and son-in-law something else. She taught them how to spend. She taught them to look upon her as a fish-dispensing machine. There are many forms of economic outpatient care. Some have a strong positive influence on the productivity of the recipients. These include subsidizing your children's education and, more important, earmarking gifts so they can start or enhance a business. Many self-made millionaires/entrepreneurs know this intuitively. Unlike Mary's mother, they prefer to give their offspring private stock, which cannot be readily traded in for a new foreign luxury automobile.

Conversely, what is the effect of cash gifts that are knowingly earmarked for consumption and the propping up of a certain lifestyle? *We find that the giving of such gifts is the single most significant factor that explains lack of productivity among the adult children of the*